situation were to come to pass, ownership of oil assets abroad would help. Most likely, the governments within whose borders those assets lay would expropriate the assets. Each country would have only oil assets that are physically within its political borders. Indeed, to protect against such a bleak world, a country would do well to increase exploration, the use of alternative energy sources, consumption and production efficiency, and the storage of reserves within its own borders (regardless of who owns the assets) while increasing the economy's flexibility to respond to oil supply disruptions.

Even in such a bleak world, it's hard to imagine the market breaking down totally or for long. Indeed, one can imagine black marketers and smugglers buying where oil is cheap and transporting it to sell to countries where oil is costly. Unless governments build leakproof barriers around their countries – the costs would likely be prohibitive – an implicit world price would be re-established. We would then be back to the case we've already examined.

Another bad motive might be that state-owned commodity companies are flush with profits that they'd otherwise have to return to the government. What better way for management to spend those profits than to build foreign empires, justifying the acquisitions with the time-honoured 'it's in the national interest'? Of course, sweetening any such rationale would be any 'under the table' payments to acquiring managers if the transaction is non-transparent.

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The best way to secure the supply of a commodity is to ensure that the world market for that commodity is well informed and competitive and that the business environment is transparent and predictable. Information on reserves and investments helps market participants make sound business decisions. Competition keeps participants honest and prices informative, and allows consumers to reap the benefits. A